AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX

ANNUAL EXAMINATIONS (THEORY) 2024

Principles of Accounting Paper II

Time: 2 hours 5 minutes Marks: 45

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

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2. There are TEN questions. Answer ALL questions.

3. When answering the questions:

   Read each question carefully.
   Use only a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Q.1. (Total 4 Marks)

Identify whether the account head has increased **(+)**, decreased **(-)** or not applicable **(N.A)** for each of the following business transactions with reference to the rules of Debit and Credit.

[**Note:** The first transaction has been done for your assistance.]

Transaction	Assets	Liability	Capital
The entrepreneur established a business with Rs 500,000.	**+**	**N.A**	**+**
The entrepreneur purchased office furniture worth Rs 15,000 on account from Quantum Furniture for the business.			
The entrepreneur paid Rs 15,000 as office rent.			
The entrepreneur withdrew cash Rs 5,000 from the business for personal mobile phone bill.			
The entrepreneur bought a car for Rs 250,000 for business use from his personal account.			

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Q.2. (Total 4 Marks)

Accounting assumptions are business entity, money measurement, dual aspects, accrual basis, matching principles, going concerns, historical cost, consistency, and prudence concept.

Complete the given table by identifying the accounting assumptions that are violated in the transactions.

[**Note**: The first transaction has been done for your assistance.]

S. No.	Transaction	Violated Accounting Assumptions
1	**Business incomes included the prize bond reward won by the entrepreneur in the national draw.**	**Business entity**
2	Voluntary Community services served by entrepreneurs were charged as expense in the books of business.	
3	Purchased office furniture for Rs 80,000 from Alpha Furniture on account and recorded only liability not asset in the books of business.	
4	Business depreciated the full amount of a non-current asset account at the end of the first financial year.	
5	The business only records the current value of an asset in use rather than keeping its acquisition cost,	

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Q.3. (Total 6 Marks)

Record the following transactions in the given general journal format.

[**Note**: Attempt any THREE transactions.]

March 7, 2023	Bought goods worth Rs 6,000 from Usha & Co. and paid half the amount in cash.
March 14	Sold goods for worth Rs 4,000 and received Rs 2,000 as partial payment from Aziz Traders
March 16	Bought furniture on cash worth Rs 4,000 of which, those worth Rs 3,000 are for office use and the balance for personal use.
March 18	Sold goods to Arial & Co. for Rs 8,000 and to Wheel & Co. for Rs 7,000 on account.
March 20	Purchased motor vehicle through leasing paying 10% downpayment of Rs 50,000.
March 25	Paid Rs 15,000 as factory rent for the year in advance by issuing a cheque for Rs 10,000.

Date	Particulars	P.R	Debit	Credit

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Date	Particulars	P.R	Debit	Credit

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Q.4. (Total 4 Marks)

The following account balances are extracted from the books of Al-Munaza Store.

Particular	Amount (Rs)
Sales revenue	350,000
Sales returns	11,500
Purchases	210,000
Purchases return	10,000
Merchandise inventory opening	25,000
Merchandise inventory ending	55,500
Salaries expense	72,500
Supplies expense	20,500
Rent expense	48,500

Prepare classified income statement.

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Q.5. (Total 5 Marks)

The following transactions have been taken from the books of Al-Mairaj Traders.

i. A customer deposited Rs 15,000 in the bank account directly.
ii. A cheque was issued to Aleem traders for Rs 5,500 against his account.
iii. Cash of Rs 1,500 was withdrawn for the fuel expenses of personal vehicle.
iv. Paid as wages to loaders Rs 15,500 for offloading the machine.
v. A customer's cheque of Rs 50,000 was deposited in the bank on the same day as it was received in the office by the cashier.
vi. Excess cash deposited in the bank was Rs 25,000.

Post the given transactions in the following cash book format. The opening balances of cash and bank are mentioned in the format.

[**Note:** The first transaction has been done for your assistance.]

Receipts					**Payments**				
Date	**Particulars**	**Discount**	**Cash**	**Bank**	**Date**	**Particulars**	**Discount**	**Cash**	**Bank**
	Balance		150,000	250,000					
	Direct deposit			15,000					

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Q.6. (Total 4 Marks)

The following records are extracted from the books of Alpha Publishers:

Petty cash expenses	**Amount (Rs)**
Wages	1,500
Conveyance	2,500
Stationery	750
Employees Tea	3,000
Phone bill	1,500
Total	**9,250**

The business follows imprest petty cash method of recording the petty cash fund. The fund was established by issuing the cheque of Rs 20,000.

Record the entries for establishment, replenishment and recording of petty cash expenses in the given format.

Date	**Particulars**	**P.R**	**Debit**	**Credit**

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Q.7. (Total 4 Marks)

Enter the following transactions in the sales day book.

Date	Particular	Amount
02.01.2023	Credit sales to Ms Areej (invoice # 453)	Rs 8,500
04.01.2023	Credit sales to Ms Afshan (invoice # 454)	Rs 12,000
06.01.2023	Credit sales to Ms Aafia (invoice # 455)	Rs 9,500
08.01.2023	Credit sales to Ms Afsheen (invoice # 456)	Rs 17,500

Sales Day Book				
Date	**Name of Customers**	**Invoice Number**	**Folio**	**Amount**

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Q.8. (Total 4 Marks)

If the business is not maintaining individual customer subsidiary account, then prepare the account receivable (trade receivable) account in the given format using the transactions given in **Q.7.**

Account Receivable (Trade Receivables)					
Date	**Particulars**	**Amount**	**Date**	**Particulars**	**Amount**

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Q.9. (Total 5 Marks)

The Alpha Company purchased a machine on July 01, 2021 at the list price of Rs 350,000. The company's accounting year ends on December 31.

The estimated life of the machine is 10 years and the estimated scrap value of the machine is Rs 75,000. The company uses the straight line method of charging depreciation.

- Compute the depreciation for the following years 2021, 2022, and 2023.
- Record the General Journal entry for 2023 only.

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Q.10. (Total 5 Marks)

The following information regarding customer's account is extracted from the books of Maaz & Co.

Account Receivable (trade receivable)	Rs 125,000
Allowance for Bad debts	Rs 18,750

Some additional information that needs to be adjusted to account receivable and allowance for bad debts is:

- A firm liable to pay Rs 7,500 has been declared bankrupt and its account is to be written off.
- The Company has changed its policy of allowance of bad debts rates and, from now onwards bad debts will be 20% of the total account receivable instead of the last year's 15% rate.

i. Post the General Journal entry for bad debts written off. (1 Mark)

Date	Particulars	P/R	Debit	Credit

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ii. Compute the adjusted amount of bad debts expense. (3 Marks)

iii. Post the General Journal entry for recording bad debts for the current year. (1 Mark)

Date	Particulars	P/R	Debit	Credit

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